LINE

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CATORIA-OLTZ v. GENERAL MOTORS, LLC
CU24-09737

Demurrer and Motion to Strike re: First Amended Complaint

TENTATIVE RULING

Defendant GENERAL MOTORS, LLC demurs to the cause of action for fraudulent inducement within Plaintiff MARIA CANTORIA-OLTZ's first amended complaint. Defendant simultaneously moves to strike the complaint's prayer for punitive damages. Summarized, the complaint alleges that on May 10, 2021 Plaintiff bought a 2021 GMC Sierra 1500 (the "Vehicle") that came with Defendant's express warranty. The Vehicle manifested defects notably including a defective engine that causes loss of power, stalling, misfires, and engine failure. Defendant has not obeyed its obligations under the Song-Beverly Consumer Warranty Act (the "lemon law") and fraudulently concealed its knowledge of the engine defect while effecting the sale of the Vehicle.

The court has not received opposition to the demurrer or to the motion.

Notice of Tentative Ruling. Defendant's notices of demurrer and motion do not advise the recipient that the Solano County Superior Court uses a tentative ruling system, as is required under Local Rule 3.9, subdivision (d). Defendant is advised to observe local rules going forward.

Statute of Limitations. The statute of limitations for fraudulent inducement is three years. (Code Civ. Proc., § 388, subd. (d).) A demurrer based on the statute of limitations must clearly and affirmatively show that the claim is barred. (*Lockley v. Law Office of Cantrell, Green, Kekich, Cruz & McCourt* (2001) 91 Cal.App.4th 875, 881.) It is not sufficient that the claim only might be barred. (*Roman v. County of Los Angeles* (2000) 85 Cal.App.4th 316, 324.) Defendant observes that the Vehicle was purchased on May 10, 2021 yet the original complaint in this action was filed on December 11, 2024. Defendant conflates the date of purchase with the date of discovery of claims. The fact that the defect may have existed at the time of the sale does not mean that Plaintiff was aware of such fact. To the contrary, Plaintiff alleges that Defendant concealed the defect; she did not discover Defendant's wrongful conduct until the Vehicle continued to exhibit symptoms of the defect following Defendant's unsuccessful attempts to repair it; and she had no way of knowing about the defect until it manifested and Defendant could not repair it. (First Amended Complaint at ¶¶ 51, 53, 63.) These allegations are sufficient for pleading purposes to show that the fraudulent concealment cause of action is not barred by the statute of limitations.

Legal Standard on Demurrer. "The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday Matinee, Inc. v. Rambus, Inc*. (2004) 118 Cal.App.4th 1413, 1420.) A complaint is sufficient if it alleges ultimate rather than evidentiary facts, but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id*. at 1098–1099; *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 551, fn. 5 [ultimate facts sufficient].) The Court "assume[s] the truth of the allegations in the complaint, but do[es] not assume the truth of contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Sufficiency of Pleading Fraudulent Inducement. *Dhital v. Nissan North America Inc.* (2022) 84 Cal.App.5th 828 (*Dhital*) offers applicable precedent as to the sufficiency of Plaintiff's fraudulent inducement cause of action. In *Dhital* the plaintiff brought a lemon law action over his Nissan vehicle's faulty transmission and additionally alleged fraudulent inducement. (*Dhital*, *supra*, 84 Cal.App.5th at p. 834.) The trial court sustained Nissan's demurrer on the fraudulent inducement cause of action, deciding that the economic loss rule barred the claim. (*Id*. at p. 835-836.) The appellate court reversed, finding both that the economic loss rule did not bar the claim and that the plaintiff's allegations sufficiently stated fraudulent inducement (insufficiency of pleading being an alternative ground for affirming the trial court ruling that Nissan urged on appeal). (*Id*. at p. 845.)

Regarding sufficiency of pleading, the *Dhital* court first discussed the basic law. Fraudulent inducement is a subset of fraud and so requires the same elements be proven: (1) a misrepresentation, (2) knowledge of falsity, (3) intent to induce reliance, (4) justifiable reliance, and (5) damages. (*Dhital*, *supra*, 84 Cal.App.5th at p. 843; *Hinesley v. Oakshade Town Center* (2005) 135 Cal.App.4th 289, 294-295.) Fraud must always be pleaded with specificity. (*Linear Technology Corp. v. Applied Materials, Inc.* (2007) 152 Cal.App.4th 115, 132.) The *Dhital* plaintiff's allegations included that Nissan manufactured and distributed more than 500,000 vehicles with faulty transmissions; that Nissan knew or should have known of the faults from premarket testing and consumer complaints to both the National Highway Traffic Safety Administration ("NHTSA") and to Nissan itself; and that Nissan issued Technical Service Bulletins ("TSBs") regarding the transmission problem. (*Dhital* at pp. 833-834.) The *Dhital* court found all of this sufficient: the allegations stated that Nissan made lemons with transmission defects, Nissan knew of the transmission defects and the hazards they posed, Nissan had exclusive knowledge of the defects but did not disclose them to consumers, Nissan intended to conceal the information, and the plaintiff would not have bought the vehicle in question had the plaintiff known the information. (*Id*. at p. 844.) Allegations that the plaintiff bought the car from a Nissan dealership with a Nissan-backed warranty and that dealerships are Nissan's agents for purposes of sale sufficed to state a buyer-seller relationship between the parties. (*Ibid*.) The court rebuffed Nissan's argument that the plaintiff was not specific enough about what it should have disclosed where the plaintiff described the effects of the transmission defect and alleged that Nissan knew of these effects from premarket testing and consumer complaints. (*Ibid*.)

Plaintiff's allegations in the instant complaint almost line up well with those of the *Dhital* plaintiff. Plaintiff here describes the engine defect at issue as likely to cause loss of power, stalling, and engine failure. (First Amended Complaint at ¶ 49.) Plaintiff alleges that Defendant knew or should have known of the transmission defect from pre- and post-production market testing, consumer complaints, and warranty data. (*Id*. at ¶¶ 51, 57.) Plaintiff alleges that Defendant concealed information about the transmission defect that would have changed Plaintiff's purchase decision had it been known to Plaintiff. (*Id*. at ¶¶ 53, 60-62.)

However, Plaintiff merely alleges obtaining the Vehicle under a warranty with Defendant, failing to offer a basis for finding a transactional relationship between the parties akin to the *Dhital* allegations of purchase from a dealer-agent. (First Amended Complaint at ¶ 6.) Without a transactional relationship Defendant bore no duty to disclose that could support a claim of fraudulent inducement.

Motion to Strike. Code of Civil Procedure section 436, subdivision (a) permits a court to strike out any irrelevant, false, or improper matter inserted in any pleading, upon a motion or in its discretion. Irrelevant matters are those not essential to the statement of a claim or defense or not pertinent to or supported by an otherwise sufficient claim or defense and demands for relief not supported by the allegations. (Code Civ. Proc., § 431.10.) "The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice;" therefore, a motion to strike may not be based upon extrinsic evidence such as a declaration. (Code Civ. Proc., § 437, subd. (a).)

Given that Plaintiff's fraudulent inducement is not sufficiently pled she does not sufficiently plead fraud as a basis for punitive damages. Plaintiff cannot support a prayer for punitive damages on her lemon law causes of action alone. The lemon law provides for punishment of malicious defendants via civil penalties and California law does not support recovery of penal damages twice for the same act of misconduct. (*Troensegaard v. Silvercrest Industries* (1985) 175 Cal.App.3d 218, 228; see also *Anderson v. Ford Motor Co.* (2022) 74 Cal.App.5th 946 [permitting punitive damages on fraudulent inducement claim alongside civil penalties on Song-Beverly claim].)

Leave to Amend. Leave to amend is proper where identified defects are amenable to cure. (*Vaccaro v. Kaiman* (1998) 63 Cal.App.4th 761, 768.) It is the pleading party's burden to show the trial court that a reasonable possibility exists that amendment can cure identified defects in that party's pleading. (*Murphy v. Twitter, Inc.* (2018) 60 Cal.App.5th

12, 42.) Plaintiff has filed no opposition and thus makes no request for leave to amend nor argument as to how amendment might cure identified defects.

Conclusion. Defendant's demurrer is sustained without leave to amend. Defendant's motion to strike is granted without leave to amend.

9:30 a.m. CALENDAR

LINE 4

IN RE THE BRANDON RODNEY SPECIAL NEEDS TRUST
FPR043373

Fifth through Sixteenth Accounts and Report by Trustee; Petition for Settlement of Accounts and Report; for Approval of Trustee's Fees; and for Approval of Attorneys' Fees and Costs Advanced [Probate Code § 17200(6)(6)

PREGRANT ORDER

The court on its own motion continues this hearing to September 17, 2026, at 9:30 a.m. in Department 22. Pending the re-set hearing the petitioner shall resolve the following issues:

1. The petitioner shall explain why they have not filed an account since 2014 and why the court should not remove Wells Fargo Bank as the trustee or sanction them for their decades-long failure to file timely accounts.

2. Counsel is reminded that in probate matters, the "title of each pleading and of each proposed order must clearly and completely identify the nature of the relief sought or granted." (Cal. Rules of Court, rule 7.102.) Here, the caption did not mention the requested termination of the special needs trust.

3. The special needs trust in Section 1.8 requires, upon termination of the trust, that notice be given to the state agencies, including the Department of Health Care Services. The Proof of Service does not show that notice was given to any of the required state agencies.

4. The requested attorney fees and costs exceed the remaining balance of the trust. The petitioner shall explain how the fees will be paid.

5. The Verification is not signed by the representative of Wells Fargo Bank.
